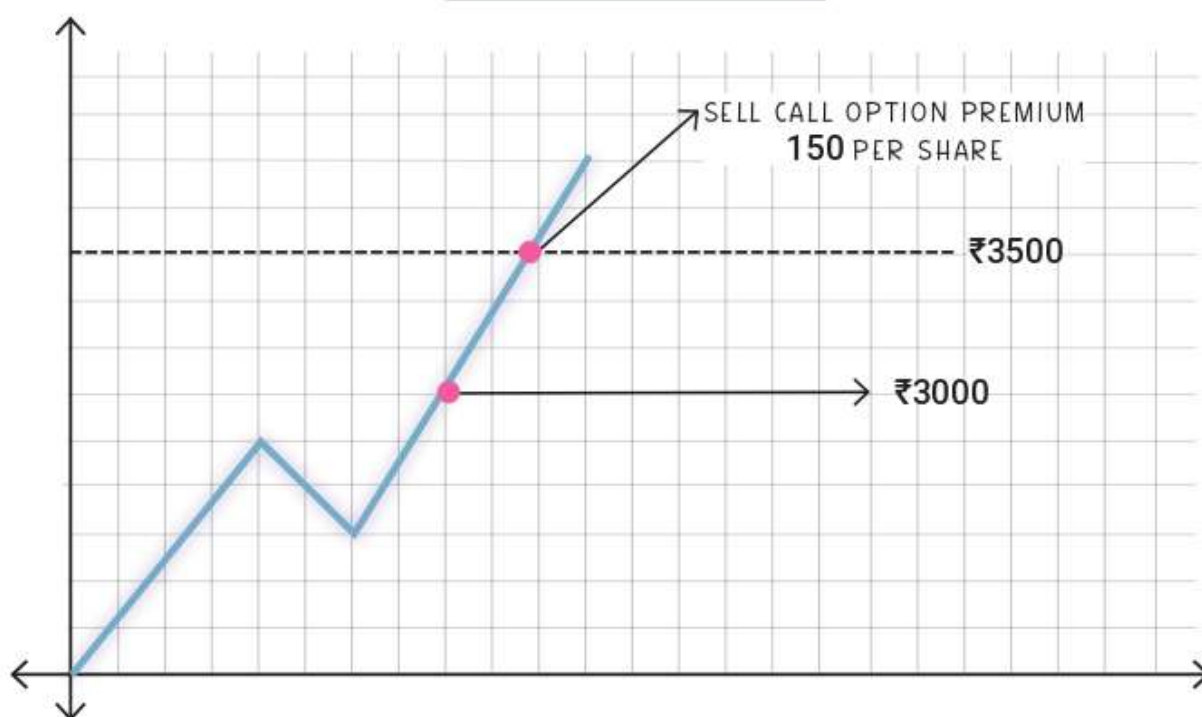




Let us discuss another example to better understand this. A man buys 100 shares of Asian Paints at ₹3000. He expects the price will decrease. Further, he sells a call option at a Strike price of ₹3500 for a premium of ₹150.



Let's say

MARKET PRICE ON EXPIRY	PROFIT/ LOSS	EXPLANATION
₹2600	Profit/Loss = Profit/Loss on Cash Position + Profit/Loss on Selling Call Options = (₹2600-₹3000) + (₹150) = -₹400 + ₹150 = -₹250	The man will incur a loss of ₹400 from his stock position. However, he has also receive ₹150 as call option premium which requires no payoff. We can see how option selling was used to reduce losses.